

These are not stray concerns but reflect oft-repeated problems, although Chief Economic Adviser V. Anantha Nageswaran recently refuted worries about GDP overestimation, saying such questions were not asked when growth was on the lower side.

However, economists point out that the nature of the economy has changed over the past decade and the official data is unable to capture that fully.

Ranen Banerjee, Partner and Leader, Economic Advisory Services Government Sector Leader at PwC India, says the current base of the GDP series is 15 years old. Since then, the structure of the economy has changed with the emergence of the gig sector and e-commerce, which employ many people. "The nature of logistics has changed. Many women's self-help groups and farmer-producer organisations have also come up during the intervening period. The data does not capture this. There have also been structural breaks in the series due to the introduction of the goods and services tax (GST) and the outbreak of the Covid-19 pandemic," he says.

62 | Similarly, consumption patterns have changed significantly. For instance, monthly expenditure on food items for Indian households has dipped below 50% for the first time. Besides, per capita income has almost doubled since the CPI basket was last updated. "It is very important to reflect the correct consumption pattern in the CPI to accurately reflect real inflation for consumers," says Banerjee.

Further, the share of the informal economy was estimated at about 45% in 2011-12, which is likely to have changed owing to progressive digitalisation and formalisation of the economy. "It is important to better understand the growth of this segment and not rely solely on extrapolations given several alternative datasets have become available," he says.

N.R. Bhanumurthy, Director of the Madras School of Economics, says the GDP base revision was delayed for far too long, primarily because the Household Consumption Expenditure Survey (HCES) and other survey data were not available. The norm is to revise it every five years. "Even in the CPI revision, there has been so much discussion around the consumption basket and issues with it," he says.

The revision of the base year will take care



“THE IMF HAS NOT RAISED ANY ISSUE ABOUT DATA QUALITY”

Saurabh Garg, Secretary, MoSPI,
on base year revisions, the IMF
rating and plans to further improve
India's data quality

THERE IS TREMENDOUS anticipation around the upcoming base revision for Indian data sets, especially in light of the 'C' rating India's national accounts statistics received from the International Monetary Fund (IMF), but one must understand the exercise in the context of its massive scale and complexity, says Saurabh Garg, Secretary, Ministry of Statistics and Programme Implementation. He says this is far from a routine statistical update. In an interview, he tells BT's Surabhi why the GDP base revision took so long and plans to ensure faster updates in future. Edited excerpts:

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Why did it take so long to undertake the base revision?

The exercise largely depends on the Household Consumption Expenditure Survey (HCES). The National Statistical Office carried out an All-India HCES from July 2017 to June 2018. The results were not released due to data quality issues, a rare occurrence. The ministry referred the matter to a committee of experts, which came out with several recommendations, including refining the methodology and improving the data quality on a concurrent basis. Subsequently, the Covid-19